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RESPONDENT	2755857 ALBERTA LTD.
	IN THE MATTER OF THE RECEIVERSHIP OF 2755857 ALBERTA LTD.
DOCUMENT	**FOURTH REPORT OF ALVAREZ & MARSAL CANADA INC., IN ITS CAPACITY AS RECEIVER AND MANAGER OF 2755857 ALBERTA LTD.**
	September 8, 2026

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INTRODUCTION

1. On June 2, 2025, the Court of King's Bench of Alberta (the "**Court**") granted a receivership order (the "**Receivership Order**"), whereby, effective June 3, 2025 (the "**Receivership Date**"), Alvarez & Marsal Canada Inc. ("**A&M**") was appointed receiver and manager (the "**Receiver**"), without security, of all the current and future assets, undertakings and properties of every nature and kind whatsoever, and wherever situate, including all proceeds thereof (collectively, the "**Property**") of CLEO Energy Corp. ("**Cleo**" or the "**Company**"), pursuant to section 243(1) of the *Bankruptcy and Insolvency Act*, RSC 1985, c B-3 (the "**BIA**") and section 13(2) of the *Judicature Act*, RSA 2000 c J-2 (the "**Receivership Proceedings**").

2. Prior to the granting of the Receivership Order, on December 8, 2024, the Company filed a Notice of Intention to Make a Proposal pursuant to section 50.4(1) of the BIA (the "**NOI Proceedings**"). A&M acted as Trustee under the Proposal (in such capacity the "**Proposal Trustee**") during the NOI Proceedings.

3. The Receivership Order empowered and authorized, but did not obligate, the Receiver to, among other things, manage, operate and carry on the business of the Company and to take possession and control of the Property (as defined in the Receivership Order) and any and all proceeds, receipts and disbursements arising out of or from the Company, and to sell, convey, transfer, lease or assign the Property or any part or parts thereof out of the ordinary course of business.

4. On October 17, 2025, the Receiver sought and obtained an Order that, among other things, approved the actions, activities, and conduct of the Receiver and its legal counsel since the Receivership Date, including the Interim Statement of Receipts and Disbursements, as set out in the First Report.

5. On November 14, 2025, the Receiver sought and obtained the following Orders from this Honourable Court:

a) an Order approving the Receiver's actions, activities and conduct, and those of its legal counsel since the First Report, including the Interim Statement of Receipts and Disbursements, as set out in the Second Report; and

b) an Order authorizing and approving the Receiver to complete the Transaction contemplated by the SPA and granting the Revised RVO in respect of the Transaction.

6. On November 14, 2025, His Majesty the King in Right of Canada, as represented by the Minister of National Revenue brought an application for among other relief, allocating the Receiver's Charge and Receiver's Borrowing Charge amongst the various assets comprising the Property and requiring the Receiver to pay the Receiver General of Canada, from the proceeds of Cleo's assets, $899,907 in satisfaction of the unremitted GST held in trust by Cleo on behalf of His Majesty the King in Right of Canada as Represented by the Minister of National Revenue, represented by the Canada Revenue Agency (the "**CRA Application**"). The Canada Revenue Agency is represented by the Department of Justice Canada in these Receivership Proceedings.

7. On December 18, 2025, after considering the CRA Application requesting that the Receiver pay unpaid pre-receivership GST totaling $899,907 and allocate the Priority Payments[1] among the various assets comprising the Property, the Court issued an order dismissing the CRA Application in its entirety.

8. On February 10, 2026, the Receiver sought and obtained the following orders from this Honourable Court:

[1] Priority Payments total $1,295,425 and are comprised of the following: (i) $1,078,907 to uCapital, in repayment of all amounts borrowed under the Interim Financing Facility in the NOI Proceedings (ii) $101,474 to the Company's counsel, in full satisfaction of the amounts secured by the Administration Charge; (iii) $25,968 to the Proposal Trustee's counsel, in full satisfaction of the amounts secured by the Administration Charge; and (iv) $89,076 to the Proposal Trustee, in full satisfaction of the amounts secured by the Administration Charge.

a) an Order (the "**Claims Procedure Order**") approving a claims procedure to determine the claims of creditors and establishing a claims bar date to prove such claims (the "**Claims Procedure**"); and

b) an Order approving, among other things: (i) the Receiver's actions, activities and conduct, and those of its legal counsel since the Second Report, including the Final R&D and Interim Statement of Receipts and Disbursements, as set out in the Third Report; and (ii) authorizing the Receiver to assign 2755857 Alberta Ltd. ("**ResidualCo**")[2] into bankruptcy.

9. Further background regarding the Company and its financial circumstances is contained in the materials filed in support of and relating to the Receivership Order. These documents and other relevant information, including all publicly available information pertaining to the NOI Proceedings and Receivership Proceedings, have been posted on the Receiver's website at www.alvarezandmarsal.com/CLEO.

10. Capitalized words or terms not otherwise defined in this Report shall have the meaning ascribed in the Receivership Order, the reports filed by the Receiver in these Receivership Proceedings[3] and the Claims Procedure Order.

PURPOSE

11. The purpose of this fourth report of the Receiver (the "**Fourth Report**" or this "**Report**") is to provide this Honourable Court with information in respect of the following:

---

[2] As set out in the Revised RVO, the Excluded Assets, Excluded Liabilities, and Excluded Contracts contemplated in the SPA were transferred to, assumed by, and vested absolutely and exclusively in ResidualCo on November 19, 2025, being the closing date of the Transaction (the "**Closing Date**").

[3] The First Report of the Receiver dated October 6, 2025 (the "**First Report**"); the Supplement to the First Report of the Receiver dated October 24, 2025 (the "**Supplement to the First Report**"); the Second Report of the Receiver dated November 5, 2025 (the "**Second Report**"), the Supplement to the Second Report of the Receiver dated November 12, 2025 (the "**Supplement to the Second Report**"), and the Third Report of the Receiver dated February 2, 2026 (the "**Third Report**").

a) an update on the activities of the Receiver since the Third Report, including an update on the assignment of ResidualCo into bankruptcy;

b) an update on the administration of the Wage Earner Protection Program ("**WEPP**") in respect of former Cleo employees and advice and direction regarding the impact of the Revised RVO on the entitlement of the former Cleo employees under the *Wage Earner Protection Program Act,* SC 2005, c 47, s1 ("**WEPPA**");

c) a summary of the results of the Claims Procedure to determine the claims of creditors against the general pool of funds in the Receivership (the "**ResidualCo Funds**") and the funds stemming from the Transaction contemplated in the Revised RVO (the "**Purchase Price Funds**")[4];

d) the Final Statement of Receipts and Disbursements for ResidualCo for the period from February 1, 2026, to September 4, 2026 (the "**Final Reporting Period**");

e) the Final Cash Flow Forecast to conclude the Receivership Proceedings;

f) the proposed Purchase Price Funds Distribution and ResidualCo Funds Distribution;

g) the request for approval of the Receiver's activities, actions and conduct, and the professional fees and costs of the Receiver and its legal counsel, Miller Thomson LLP ("**Miller Thomson**" or "**Receiver's Counsel**"), including the Forecast Fees and Costs;

[4] The Purchase Price Funds as at the Closing Date of the Transaction (November 19, 2025) were $450,035.

h) the request for the discharge of the Receiver and the termination of the Receivership Proceedings following the filing of the Receiver's Certificate; and

i) the Receiver's conclusions and recommendations with respect to the matters described above.

12. The Receiver is requesting an Order from this Honourable Court granting the following relief at the Application scheduled for September 16, 2026:

a) declaring that the Revised RVO did not impact the eligibility of former employees of Cleo for purposes of entitlement to payments under the *Wage Earner Protection Program Act* (Canada) ("**WEPPA**");

b) approving the Receiver's actions, activities and conduct since the Third Report and throughout the Receivership Proceedings, including the Final Statement of Receipts and Disbursements and the Final Cash Flow Forecast;

c) approving the Receiver's fees and disbursements, as well as those of its legal counsel, Miller Thomson LLP ("**Miller Thomson**" or "**Receiver's Counsel**"), including the Forecast Fees and Costs, as outlined in this Report;

d) approving the proposed Purchase Price Funds Distribution and ResidualCo Funds Distribution; and

e) approving the discharge of the Receiver and the termination of the Receivership Proceedings.

TERMS OF REFERENCE

13. In preparing this Report, the Receiver has relied upon: (i) the representations of certain former management and other key stakeholders of the Company; (ii) financial and other information contained in the Company's books and records,

which were produced and maintained principally by the Company; and (iii) information obtained by the Proposal Trustee prior to the Receivership Proceedings.

14. The Receiver has not performed an audit, review or otherwise attempted to verify the accuracy or completeness of the Company's financial information that would wholly or partially comply with Canadian Auditing Standards ("**CASs**") pursuant to the *Chartered Professional Accountants Canada Handbook*, and accordingly, the Receiver expresses no opinion or other form of assurance contemplated under CASs in respect of the financial information.

15. All references to dollars are in Canadian currency unless otherwise noted.

ACTIVITIES OF THE RECEIVER

16. Since the Third Report, the Receiver's activities have included, but are not limited to, the following:

    a) responding to creditor and stakeholder enquiries;

    b) providing instructions to Miller Thomson on a variety of matters with respect to these Receivership Proceedings;

    c) administering the Claims Procedure in consultation with Miller Thomson, including reviewing and assessing Cure Costs Claims and Pre-Filing Claims, preparing and issuing Notices of Revision and Disallowance ("**NORD**"), communicating with Claimants regarding their Claims and addressing ongoing enquiries and Claims-related matters;

    d) various meetings and communications with the Alberta Energy Regulator ("**AER**") and Brownlee LLP ("**Brownlee**"), in its capacity

as counsel to Municipalities with secured Claims[5], to provide updates on the status of the Claims Procedure and the Receiver's review of the Claims of the AER and the Municipalities, respectively;

e) communications with numerous former employees of Cleo with regards to the clawback of their payments under the WEPP by ESDC;

f) communication with the Department of Justice Canada in its capacity as counsel to ESDC pertaining to the clawback of WEPP Payments from the Former Employees;

g) numerous communications with Sumerian Oil & Gas Inc. (formerly Cleo) and the Alberta Department of Energy ("**Alberta Crown**") with respect to the status of the gas cost allowance forms and the payment of proven Alberta Crown Cure Costs (the "**Proven Alberta Crown Cure Costs**"), respectively;

h) responding to a GST/HST audit request from the Canada Revenue Agency ("**CRA**");

i) preparing this Fourth Report and related application materials, with the assistance of Miller Thomson; and

j) maintaining the Receiver's website.

ResidualCo Bankruptcy

17. Pursuant to the Order granted by this Honourable Court dated February 10, 2026, ResidualCo, by and through the Receiver, filed an assignment into bankruptcy on July 28, 2026 (the "**Bankruptcy Date**"), and A&M was appointed as the licensed insolvency trustee (the "**Trustee**") of ResidualCo, subject to affirmation of the

[5] Brownlee LLP is legal counsel to the following Claimants: the Municipal District of Wainwright No. 61, Flagstaff County, the County of Paintearth No. 18, the Municipal District of Provost No. 52 and Vulcan County (collectively, the "**Municipalities**").

Trustee's appointment by the creditors. Since the Bankruptcy Date, A&M, in its capacity as Trustee, has carried out the following duties in accordance with the BIA:

a) delivering a notice of the bankruptcy, along with other statutory documents including proofs of claim, instructions thereto, proxy forms, and the list of known creditors, to all known creditors of ResidualCo[6]; and

b) hosting and chairing a virtual first meeting of creditors ("**FMOC**") for ResidualCo on August 13, 2026, at 2:00pm MDT in accordance with Directive 22R4 of the Office of the Superintendent of Bankruptcy. At the FMOC, the following occurred:

i. presentation of the Trustee's report on the preliminary administration of ResidualCo.

ii. affirmation of the appointment of A&M as Trustee; and

iii. the appointment of an inspector for ResidualCo (the "**Inspector**").

18. Following the FMOC, the Inspector confirmed the appointment of Miller Thomson as independent legal counsel to the Trustee. The Trustee is now in the process of seeking its discharge, subject to approval of the Inspector, in normal course with the Office of the Superintendent of Bankruptcy and then this Court.

UPDATE ON THE WAGE EARNER PROTECTION PROGRAM

Administration of the WEPP

19. On the Receivership Date, the Receiver terminated the employment of all 12 employees of Cleo (the "**Former Employees**"). On June 16, 2025, the Receiver

[6] Pursuant to paragraph 39 of the Claims Procedure Order, the Claims Procedure is binding on any trustee in bankruptcy that may be appointed in respect of ResidualCo. As such, no creditor was required to complete and submit a proof of claim to the Trustee in regard to claims owing against ResidualCo.

prepared and delivered the required information package in respect of the WEPP to the Former Employees, including a proof of claim form.

20. The Receiver received proof of claim forms from the Former Employees and administered the WEPP in accordance with the WEPPA. The Receiver subsequently received confirmation from ESDC that all Former Employees' WEPP claims had been processed and that the Former Employees had received payments from ESDC in respect thereof (the "**WEPP Payments**").

21. On September 29, 2025, the Receiver received correspondence (the "**WEPP Correspondence**") from ESDC regarding ESDC's payments to the Former Employees pursuant to the WEPPA. In the WEPP Correspondence, ESDC noted that the amount of $15,333.41 paid pursuant to the WEPP held a super-priority entitlement over other creditors of Cleo (the "**Super Priority Amount**"). Accordingly, on November 20, 2025, the Receiver remitted the Super Priority Amount to ESDC.

Reversal of WEPP Payments

22. On October 17, 2025, the Receiver applied to the Court for approval of, among other things, a reverse vesting order transaction (the "**Transaction**") pursuant to which, among other things, all of the outstanding shares of Cleo would be sold to a third-party purchaser and ResidualCo would replace Cleo in the Receivership Proceedings as the insolvent party (the "**October 17 Application**"). On November 14, 2025, the Court approved the Transaction, and on November 19, 2025, the Receiver closed the Transaction following the satisfaction of all material conditions precedent to closing, as set out in the SPA.

23. At the October 17 Application, the Department of Justice Canada appeared on behalf of ESDC and advised the Court that, as a result of the structure of the Transaction and Cleo's subsequent exit from the Receivership Proceedings, ESDC may seek to claw back the WEPP Payments made to the Former Employees.

24. In response to the Department of Justice's comments at the October 17 Application, the Receiver advised the Court that, in its view, the Transaction and the resulting exit of Cleo from the Receivership Proceedings should not affect the Former Employees' entitlement to the WEPP Payments. The Former Employees met all eligibility requirements under the WEPPA at the time the WEPP Payments were made, and the Transaction simply monetized the remainder of Cleo's assets for the benefit of the estate. The Transaction is consistent with the goals and purposes of insolvency proceedings and, in the Receiver's view, any attempts by ESDC to seek repayment from the Former Employees would be contrary to the purposes of the WEPPA. The Receiver also complied in remitting the Super Priority Amount to the ESDC.

25. The Court addressed the potential reversal of the WEPP Payments in its reasons for decision dated October 28, 2025 (the "**Reasons for Decision**"), stating at paragraph 46: "*A choice to clawback payments made to terminated employees of an insolvent corporation because of subsequent events beyond their control would be to the immense discredit of the Minister and, I would hope, be swiftly reversed by the Canada Industrial Relations Board or the Federal Court of Appeal*".

26. Between March 2026 and April 2026, the Receiver became aware through certain Former Employees that ESDC had chosen to claw back the WEPP Payments made to the Former Employees, notwithstanding the Court's comments on WEPP Payments in the Reasons for Decision discussed above. In certain cases, ESDC, through the CRA or otherwise, has caused the tax returns of the Former Employees to be withheld until repayment of the WEPP Payments were made. The Receiver understands that certain Former Employees applied to have ESDC's decision reversed; however, the Receiver is not aware of any such reversals having been issued as of the date of this Report.

Relief Sought in Respect of WEPP Payments

27. The Receiver is of the understanding that the position of the Department of Justice is that this matter cannot be resolved by this Honourable Court, but instead must be

adjudicated by the Canada Industrial Relations Board or Federal Court of Canada. The Receiver is of the respectful view that as this is a proceeding in the Court of King's Bench, and as the Revised RVO, an order of this Court, was relied upon to reverse or nullify the WEPP entitlements, it is appropriate to seek the advice and direction from this Court as to the implication of the Revised RVO on the Former Employee's WEPP claims.

28. As more particularly set out in the Receiver's Brief of Law filed in support of the Application, recent jurisprudence has addressed the impact of a reverse vesting order in WEPP entitlements to employees. In those decisions, courts have determined that the time for determining entitlement for WEPP is at the termination of employment, and further a residual corporation is a "former employer" under the WEPPA.

29. In light of the recent decisions of the Courts in Ontario and Quebec and having regard to the comments made by the Court in the Reasons for Decision, the Receiver seeks a declaration that the Revised RVO did not impact any WEPP entitlements of the Former Employees, and the ESDC is not entitled to retroactively claw back the WEPP Payments.

30. The Receiver is of the respectful view that such a declaration is fair, appropriate in the circumstances and is consistent with the goals and purposes of insolvency proceedings and the WEPP. The Former Employees were terminated as a result of Cleo's receivership and therefore satisfied the applicable eligibility requirements under the WEPPA at the time the WEPP Payments were made. In addition, the Receiver shares the same view that was outlined in the Court's comments (as discussed above) within the Reasons for Decision. The subsequent reversal of the WEPP Payments arose solely from the Court-approved Transaction in the Receivership Proceedings and the resulting substitution of ResidualCo for Cleo.

UPDATE ON THE CLAIMS PROCEDURE

31. On February 10, 2026, the Court granted the Claims Procedure Order approving the Claims Procedure and establishing March 31, 2026, as the claims bar date (the "**Claims Bar Date**").

32. The purpose of the Claims Procedure is to establish the quantum of: (i) pre-filing claims as at the Receivership Date that attach to the ResidualCo Funds ("**Pre-Filing Claims**"); and (ii) other cure cost claims, excluding the Proven Alberta Crown Cure Costs, that attach to the Purchase Price Funds ("**Cure Cost Claims**"). To the extent there are excess Purchase Price Funds following payment of the Proven Alberta Crown Cure Costs and Cure Cost Claims, such excess Purchase Price Funds should be transferred to the ResidualCo Funds, subject to a holdback for the Receiver's Charge, for the benefit of the creditors and stakeholders of ResidualCo.

33. Pursuant to the Claims Procedure Order, the Receiver has undertaken the following activities:

    a) on February 12, 2026, posted the Claims Procedure Order, the Notice to Claimants, the Proof of Claim Form, and the Proof of Claim Instructions, to the Receiver's Website;

    b) on February 17, 2026, mailed a claims package to each of the Claimants, which included the Claims Procedure Order, the Notice to Claimants, the Proof of Claim Form, and the Proof of Claim Instructions, and published notice of the Claims Procedure in the *Insolvency Insider* and the *Calgary Herald*;

    c) engaged in discussions with multiple creditors up to and following the Claims Bar Date with respect to filing a Proof of Claim and with regard to the Claims Procedure, generally;

    d) conducted a comprehensive review of the secured Pre-Filing Claims ("**Secured Pre-Filing Claims**") and Cure Cost Claims, in consultation

with Miller Thomson, and issued 19 NORDs in respect of such Claims. The Receiver did not receive any Notices of Dispute in respect of the NORDs issued; and

e) engaged in various discussions and meetings with Brownlee in respect of the Secured Pre-Claims of the Municipalities, and the AER in respect of their Secured Pre-Filing Claim.

34. The Receiver did not undertake a comprehensive assessment of the unsecured Pre-Filing Claims ("**Unsecured Pre-Filing Claims**"), other than an initial high-level review, as the quantum of the Secured Pre-Filing Claims significantly exceeds the ResidualCo Funds. Accordingly, there will be no distribution to unsecured creditors in respect of their Unsecured Pre-Filing Claims and priority creditors in respect of their priority Pre-Filing Claims ("**Priority Pre-Filing Claims**").

35. A summary of the Claims and their status is as follows:

ResidualCo - Claims Summary (September 4, 2026) *$CAD 000's*	Claims Submitted in Claims Procedure		Final Claims Ledger[(1)]	
	Number of Claims	Quantum of Claims ($)	Number of Claims	Quantum of Claims ($)
Pre-Filing				
Secured	10	9,112	8	6,043
Unsecured	70	4,439	82	5,031
Priority	2	850	1	771
Total Pre-Filing	**82**	**14,401**	**91**	**11,846**
Cure Cost				
Unsecured	13	185	4	125
Priority	1	16	-	-
Total Cure Cost	**14**	**201**	**4**	**125**
Total Cure Cost & Pre-Filing Claims	**96**	**14,602**	**95**	**11,971**
Total Secured	10	9,112	8	6,043
Total Unsecured	83	4,624	86	5,157
Total Priority	3	867	1	771
Total	**96**	**14,602**	**95**	**11,971**

(1) The final claims ledger includes unsecured Pre-Filing Claims that the Receiver has not reviewed in detail to confirm validity or amount, as the value of the Secured Pre-Filing Claims far exceeds the remaining ResidualCo Funds. Accordingly, no distributions will be available to unsecured creditors in respect of their Unsecured Pre-Filing Claims.

Summary of Proofs of Claims Received

36. The Receiver received 96 Claims by mail, facsimile, or email during the Claims Procedure. Of these, 95 Claims are reflected in the final claims ledger (the "**Final Claims Ledger**"), having either been accepted by the Receiver as submitted or addressed through the issuance of NORDs that were not disputed by the applicable Claimants. The Claims reflected in the Final Claims Ledger are comprised of the following:

a) Secured Pre-Filing Claims: 8 Secured Pre-Filing Claims totalling approximately $6.1 million, the majority of which are attributable to the AER and the Municipalities, as more particularly described below;

b) Unsecured Pre-Filing Claims: 82 Unsecured Pre-Filing Claims totalling approximately $5.0 million. The Unsecured Pre-Filing Claims

were subject to an initial high-level review by the Receiver but were not comprehensively reviewed, as the quantum of the Secured Pre-Filing Claims significantly exceeds the ResidualCo Funds available for distribution;

c) Priority Pre-Filing Claims: 1 Priority Pre-Filing Claim from the Special Areas Board, the quantum of which is approximately $771,000; and;

d) Cure Cost Claims: 4 Cure Cost Claims totalling approximately $125,000, as more particularly described below.

37. The Receiver did not receive a Proof of Claim from 658 Claimants by the Claims Bar Date. The claims of these non-responding Claimants, based on the information available to the Receiver, total approximately $15.1 million and are comprised primarily of unsecured claims.

Secured Pre-Filing Claims

38. The Secured Pre-Filing Claims reflected in the Final Claims Ledger are summarized in greater detail below:

ResidualCo - Secured Pre-Filing Claims (September 4, 2026) *$CAD 000's* **Claimant**	**Quantum of Claim ($)**
Alberta Energy Regulator	
Alberta Energy Regulator	885
Subtotal	**885**
Municipalities	
Municipal District of Wainwright No. 61	2,004
Municipal District of Provost No. 52	1,596
Flagstaff County	272
County of Paintearth No. 18	238
Vulcan County	81
Subtotal	**4,192**
Other	
Marco Simonelli	916
Stephen Ballard	50
Subtotal	**966**
Total Secured Pre-Filing Claims	**6,043**

39. The Receiver, in consultation with Miller Thomson, has conducted a review of the Secured Pre-Filing Claims to determine the priority of the respective Claimants with respect to the ResidualCo Funds. Based on the Receiver's review, it is unclear whether the Municipalities or the AER has priority over the ResidualCo Funds, as each may have priority pursuant to different legislative provisions.

40. For example, pursuant to Section 103 of the *Oil and Gas Conservation Act* (Alberta), the AER has a lien in respect of any costs, levy, fee, or penalty, among other things, owing to the AER, and which is stated to take priority over all other liens.

41. However, pursuant to Sections 348 and 348.1 of the *Municipal Government Act* (Alberta), the Municipalities have a lien for certain taxes owing which is stated to take priority over all other liens, except those in favour of the Crown.

42. The matter is further complicated by Section 4 of the *Responsible Energy Development Act* (Alberta), which says that the AER is *not* an agent of the Crown, however recent Court authority (such as *Orphan Well Association v. Trident Exploration Corp.*, 2022 ABKB 839, and *Re Razor Energy Corp., Razor Holdings GP Corp., and Blade Energy Services Corp.*, 2025 ABKB 30) has suggested that, in certain circumstances, the AER *can* be an agent of the Crown.

43. In an effort to resolve the competing priorities between the AER and the Municipalities (collectively, the "**Parties**"), the Receiver facilitated negotiations between the Parties to determine whether a settlement regarding the distribution of the ResidualCo Funds could be reached. Following these negotiations, the Parties reached a settlement whereby the ResidualCo Funds will be distributed to the Parties on a *pro rata* basis (the "**Settlement**"). Accordingly, the Receiver is proposing to distribute the ResidualCo Funds to the Parties in accordance with the Settlement. The particulars of the amount proposed to be distributed to each creditor are described in greater detail in the "Proposed Final Distributions" section of this Report.

Cure Cost Claims

44. The Cure Cost Claims reflected in the Final Claims Ledger, as well as the Proven Alberta Crown Cure Costs are summarized in greater detail below:

ResidualCo - Cure Cost Claims & Proven Alberta Crown Cure Costs (September 4, 2026) *$CAD 000's*	
Claimant	**Quantum of Claim ($)**
Cure Cost Claims	
Prairie Provident Resources Canada Ltd.	86
Tidewater Midstream & Infrastructure Ltd.	19
Freehold Royalties Partnership	12
Prairiesky Royalty Ltd.	8
Subtotal	**125**
Proven Alberta Crown Cure Costs[(1)]	
Royalty Arrears (August 2023 - August 2025)	128
Mineral Leases Arrears (January 2025 - August 2025)	38
Subtotal	**166**
Total Cure Cost Claims & Proven Alberta Crown Cure Costs	**292**

(1) Following the filing and processing of the Gas Cost Allowance Forms, the Receiver has paid the Proven Alberta Crown Cure Costs from the Purchase Price Funds, as permitted by the Revised RVO granted on November 14, 2025 in respect of the Transaction.

45. The Receiver, in consultation with Miller Thomson, has conducted a review of the Cure Cost Claims and determined that they represent valid cure costs owing in respect of the Retained Assets identified in the SPA. Pursuant to the Revised RVO, the Cure Cost Claims are entitled to be paid from the Purchase Price Funds, after payment of the Proven Alberta Crown Cure Costs, on a *pro rata* basis, subject only to the Receiver's Charge. As the aggregate amount of the Cure Cost Claims, following payment of the Proven Alberta Crown Cure Costs, is less than the Purchase Price Funds available for distribution, Claimants with Cure Cost Claims (the "**Cure Cost Claimants**") are entitled to receive a distribution in the full amount of their respective Cure Cost Claims.

46. Any Purchase Price Funds remaining following payment of the Proven Alberta Crown Cure Costs and Cure Cost Claims is proposed to be transferred to the

ResidualCo Funds, as described in greater detail in the "Proposed Final Distributions" section of this Report.

FINAL STATEMENT OF RECEIPTS AND DISBURSEMENTS

47. The Receiver's final statement of receipts and disbursements for ResidualCo (the "**Final Statement of Receipts and Disbursements**") for the Final Reporting Period is summarized below.

ResidualCo - Final Statement of Receipts and Disbursements **November 20, 2025 to September 4, 2026** *$CAD*	**Third Report**	**Reporting Period**	**Total**
	Nov 20/25 to Jan 30/26	**Feb 1/26 to Sep 4/26**	**Nov 20/25 to Sep 4/26**
Opening ResidualCo Funds	**724,656**	**591,544**	**724,656**
Cash Receipts			
Oil Revenue	176,249	-	**176,249**
Other Income	10,767	764	**11,531**
Deposit Interest	1,981	6,017	**7,998**
Bank Fees Refund	360	-	**360**
Total Cash Receipts	**189,358**	**6,781**	**196,139**
Operating Disbursements			
Contractors	42,460	-	**42,460**
Utilities	32,573	-	**32,573**
Operating & Transportation	6,479	-	**6,479**
Total Operating Disbursements	**81,512**	**-**	**81,512**
Non-Operating Disbursements			
Purchaser Statement of Adjustment Settlement	60,000	-	**60,000**
BIA s.81.4 Priority Payments	15,333	-	**15,333**
Receiver's Fees	117,089	197,510	**314,599**
Receiver's Counsel's Fees	48,220	99,030	**147,251**
Bank Fees	316	120	**436**
Software & Other IT Costs	-	105	**105**
Total Non-Operating Disbursements	**240,958**	**296,765**	**537,723**
Total Disbursements	**322,470**	**296,765**	**619,235**
Net Cash Flow	**(133,112)**	**(289,984)**	**(423,096)**
Ending ResidualCo Funds	**591,544**	**301,560**	**301,560**
Opening Purchase Price Funds	**-**	**450,035**	**-**
Funds Transfer from Miller Thomson	450,035	-	450,035
Deposit Interest	-	5,266	5,266
Proven Alberta Energy Cure Costs[(1)]	-	(166,353)	(166,353)
Ending Purchase Price Funds	**450,035**	**288,948**	**288,948**

(1) Following the filing and processing of the Gas Cost Allowance Forms, the Receiver has paid the Proven Alberta Crown Cure Costs from the Purchase Price Funds, as permitted by the Revised RVO granted on November 14, 2025 in respect of the Transaction.

ResidualCo Funds

48. There was $591,544 of opening cash in the ResidualCo Funds available at the start of the Final Reporting Period.

49. During the Final Reporting Period, the Receiver collected $6,781, consisting of:

    a) $6,017 in interest earned on the deposits in the trust account; and

    b) $764 in refunds from the finalization of settlement of utilities and insurance contracts.

50. The Receiver has made disbursements of $296,765 during the Final Reporting Period, relating primarily to:

    a) bank fees of $120;

    b) software & Other IT Costs of $105 relating to record keeping by the Receiver; and

    c) payment of professional fees to the Receiver and the Receiver's Counsel in the amount of $197,510 and $99,030, respectively.

51. As of September 4, 2026, the ResidualCo Funds had an ending cash balance of $301,560.

Purchase Price Funds

52. There was $450,035 of opening cash in the Purchase Price Funds available at the start of the Final Reporting Period.

53. During the Final Reporting Period, the Receiver collected $5,266 of interest earned on deposits held in the account.

54. Following the filing and processing of the Gas Cost Allowance Forms, the Receiver made disbursements to the Alberta Crown totalling $166,353 in respect of the

Proven Alberta Crown Cure Costs, as permitted by the Revised RVO. The Proven Alberta Crown Cure Costs have now been paid in full.

55. As of September 4, 2026, the Purchase Price Funds had an ending cash balance of $288,948.

FINAL CASH FLOW FORECAST

56. The table below provides a summary of the forecast receipts and disbursements to be collected and paid by the Receiver with respect to ResidualCo during the period from September 5, 2026, to the filing of the Receiver's Certificate (the "**Final Cash Flow Forecast**").

ResidualCo. - Final Cash Flow Forecast **September 5, 2026 to Discharge** *$CAD*	
Opening ResidualCo Funds	**301,560**
Cash Receipts	
Deposit Interest	500
Total Cash Receipts	**500**
Non-Operating Disbursements	
Receiver's Fees	35,000
Receiver's Counsel's Fees	20,000
Transfer to Trustee for Bankruptcy Costs	28,402
Bank Fees	200
File, Administration and Contingency Costs	10,000
Total Non-Operating Disbursements	**93,602**
Total Disbursements	**93,602**
Net Cash Flow	**(93,102)**
Total Ending ResidualCo Funds	**208,458**
Opening Purchase Price Funds	**288,948**
Plus: Deposit Interest	500
Ending Purchase Price Funds	**289,448**

57. The Receiver's comments with respect to the Final Cash Flow Forecast are as follows:

a) The Receiver anticipates the collection of approximately $500 in deposit interest in each of the ResidualCo Funds bank account and the Purchase Price Funds bank account;

b) the total forecast disbursements of approximately $93,602 consist of:

i. forecast costs of the Receiver and Receiver's Counsel of $35,000 and $20,000, respectively (the "**Forecast Fees and Costs**");

ii. $28,402 to be transferred from the Receiver to the Trustee to fund the administration costs required to complete the bankruptcy of ResidualCo, as the Receiver has guaranteed the fees and costs of the ResidualCo bankruptcy estate;

iii. a contingency of $10,000 for file, administration and contingency costs; and

iv. estimated bank fees of $200.

58. The Receiver estimates that there may be approximately $208,458 in ResidualCo Funds and $289,448 in Purchase Price Funds available for further distributions to creditors, as discussed below.

59. The Final Cash Flow Forecast is based on assumptions regarding future events. The Receiver expresses no opinion or other form of assurance with respect to the accuracy of any financial information presented in this Fourth Report or relied upon by the Receiver in preparing this Fourth Report.

PROPOSED FINAL DISTRIBUTIONS

Purchase Price Funds

60. As set out in the Final Cash Flow Forecast, the Receiver anticipates that $289,448 in Purchase Price Funds will be available for distribution to Cure Cost Claimants.

The table below provides a summary of the proposed distributions to be paid by the Receiver from the Purchase Price Funds.

ResidualCo - Proposed Purchase Price Funds Distribution *$CAD*	
Opening Purchase Price Funds	**289,448**
Cure Cost Claim Disbursements	
Prairie Provident Resources Canada Ltd.	86,433
Tidewater Midstream & Infrastructure Ltd.	18,962
Freehold Royalties Partnership	11,980
Prairiesky Royalty Ltd.	8,022
Total Cure Cost Claim Disbursements	**125,397**
Purchase Price Funds after Cure Cost Claim Disbursements	**164,051**
Transfer to ResidualCo Funds	(164,051)
Ending Purchase Price Funds	**-**

61. The Receiver proposes to make the following distributions from the Purchase Price Funds (the "**Purchase Price Funds Distribution**"):

    a) $125,397 to the Cure Cost Claimants with valid Cure Costs Claims; and

    b) $164,051 to the ResidualCo Funds bank account, for the benefit of the ResidualCo creditors.

62. The Purchase Price Funds Distribution is subject to the Receiver's assumption that the Receiver will be paid the forecast receipts as estimated in the Final Cash Flow Forecast. Should the Final Cash Flow Forecast change as a result of new information not available to the Receiver at this time, the Purchase Price Funds Distribution may either increase or decrease.

ResidualCo Funds

63. As set out in the Final Cash Flow Forecast, the Receiver anticipates that $208,458 in ResidualCo Funds will be available for distribution to Claimants with Secured Pre-Filing Claims. The table below provides a summary of the proposed distributions to be paid by the Receiver from the ResidualCo Funds.

ResidualCo - Proposed ResidualCo Funds Distribution *$CAD*			
Opening ResidualCo Funds			**208,458**
Cash Receipts			
Purchase Price Funds Transfer			164,051
Total Cash Receipts			**164,051**
ResidualCo Funds after Purchase Price Funds Transfer			**372,509**
Pre-Filing Secured Claim Disbursements	**Pre-Filing Secured Claim**	**Pro Rata Share**	**Distribution**
Alberta Energy Regulator	885,102	17.43%	64,941
Municipal District of Wainwright No. 61	2,004,223	39.48%	147,053
Municipal District of Provost No. 52	1,595,902	31.43%	117,094
Flagstaff County	272,401	5.37%	19,987
County of Paintearth No. 18	238,434	4.70%	17,494
Vulcan County	80,944	1.59%	5,939
Total Pre-Filing Secured Claim Disbursements			**372,509**
Ending ResidualCo Funds			**-**

64. The Receiver proposes to make a distribution in the aggregate amount of $372,509 from the ResidualCo Funds (the "**ResidualCo Funds Distribution**"), to be paid to the AER and Municipalities in accordance with the Settlement.

65. The ResidualCo Funds Distribution is subject to the Receiver's assumption that the Receiver will be paid the forecast receipts as estimated in the Final Cash Flow Forecast. Should the Final Cash Flow Forecast change as a result of new information not available to the Receiver at this time, the ResidualCo Funds Distribution may either increase or decrease.

APPROVAL OF PROFESSIONAL FEES AND EXPENSES

66. The Receiver and its legal counsel have rendered their invoices for their respective fees and disbursements for services in connection with the Receivership Proceedings and are seeking the approval of this Honourable Court.

67. The Receiver seeks approval from this Honourable Court of: (i) its professional fees and disbursements for the period of December 20, 2025 to August 31, 2026 (the "**Receiver Taxation Period**"); and (ii) Miller Thomson's professional fees and

disbursements for the period of January 5, 2026 to August 31, 2026 (the "**Miller Thomson Taxation Period**"). This Honourable Court previously approved the fees and disbursements of the Receiver and Miller Thomson as outlined in the Receiver's previously filed reports to this Court.

68. The total fees and expenses of the Receiver during the Receiver Taxation Period are $188,105 (exclusive of GST), a summary of which is included below:

ResidualCo
Summary of the Receiver's Statements of Account
For the period December 20, 2025 to August 29, 2026

Invoice	Period	Fees	Disbursements	Subtotal	GST	Total
Alvarez & Marsal Canada						
8	December 20, 2025 to February 27, 2026	59,708	5,964	65,672	3,284	68,955
9	February 28, 2026 to March 28, 2026	22,031	1,172	23,203	1,160	24,363
10	March 29, 2026 to May 2, 2026	21,716	500	22,216	1,111	23,326
11	May 3, 2026 to May 30, 2026	37,397	-	37,397	1,870	39,266
12	May 31, 2026 to July 4, 2026	15,860	-	15,860	793	16,652
13	July 5, 2026 to August 1, 2026	5,241	-	5,241	262	5,503
14	August 2, 2026 to August 29, 2026	18,519	-	18,519	926	19,444
	Total	**180,469**	**7,636**	**188,105**	**9,405**	**197,510**

69. The total fees and expenses of the Receiver's Counsel during the Miller Thomson Taxation Period total $94,322 (exclusive of GST), a summary of which is included below:

ResidualCo
Summary of the Receiver's Counsel's Statements of Account
For the period January 5, 2026 to August 31, 2026

Invoice	Period	Fees	Disbursements	Subtotal	GST	Total
Miller Thomson LLP						
4225120	January 5, 2026 to January 31, 2026	4,527	-	4,527	226	4,753
4236525	February 2, 2026 to February 26, 2026	18,220	262	18,482	916	19,399
4245207	March 2, 2026 to March 31, 2026	6,170	-	6,170	309	6,479
4253489	April 1, 2026 to April 30, 2026	15,454	-	15,454	773	16,227
4267449	May 1, 2026 to May 29, 2026	28,358	19	28,377	1,419	29,796
4277766	June 1, 2026 to June 30, 2026	9,833	-	9,833	492	10,325
4287774	July 1, 2026 to July 31, 2026	4,301	-	4,301	215	4,516
4290375	August 4, 2026 to August 31, 2026	7,179	-	7,179	359	7,538
	Total	**94,041**	**281**	**94,322**	**4,708**	**99,030**

70. The Receiver and Miller Thomson's invoices outline the date of the work completed, the description of the work completed, the length of time taken to complete the work and the name of the individual who completed the work in question. Copies of the invoices will be made available to the Court at its direction, if necessary.

71. The Forecast Fees and Costs of Receiver and the Receiver's Counsel to complete this engagement (August 30, 2026 to discharge) are approximately $35,000 and $20,000 respectively, which includes fees and costs incurred from August 30, 2026 to the date of this Report, but not paid.

72. The Receiver respectfully submits that its professional fees and disbursements and those of its legal counsel for the Receiver Taxation Period, the Miller Thomson Taxation Period and the Forecast Fees and Costs are fair and reasonable in the circumstances, given the substantive tasks performed by the Receiver and its legal counsel in connection with the Receivership Proceedings.

DISCHARGE OF RECEIVER

73. The Receiver's administration of the estate is substantially complete, subject to: (i) the collection of the forecast receipts and forecast payments to be made as set out in the Final Cash Flow Forecast; (ii) the Purchase Price Funds Distribution; and (iii) the ResidualCo Funds Distribution described herein.

74. In addition, the Receiver will have certain miscellaneous items to attend to after its discharge, including filing all outstanding GST returns with CRA, receiving the forecast receipts and paying the forecast disbursements, final reconciliation of accounts and addressing various CRA matters. The Receiver is of the view that these items are administrative in nature and should not prevent this Court from granting an unconditional discharge.

75. The Receiver's next steps include, but are not limited to:

a) filing GST returns with the CRA and closing the GST account;

b) collecting the remaining receipts and disbursing funds as described in the Final Cash Flow Forecast;

c) co-operating with the Trustee in respect of the bankruptcy of ResidualCo;

d) preparing the Purchase Price Funds Distribution and the ResidualCo Funds Distribution; and

e) completing the administrative tasks in accordance with the requirements of the BIA.

76. The Receiver respectfully requests that the Order of this Court contain the standard Alberta Template Discharge Order provision that all claims against the Receiver, its officers, directors, employees and affiliates, in connection with its appointment or the performance of its duties as Receiver to the date of this Order thereafter be stayed, extinguished and forever barred and that the Receiver, its officers, directors, employees and affiliates, shall have no obligation or liability in respect thereof except for any liability arising out of fraud, gross negligence or willful misconduct on the part of the Receiver.

77. The Receiver respectfully requests that this Honourable Court approve the Order discharging the Receiver of and from its duties, subject to the completion of its final administrative duties and the filing of the Receiver's Certificate as noted above, and the termination of these Receivership Proceedings.

RECEIVER'S CONCLUSIONS AND RECOMMENDATIONS

78. The Receiver recommends that this Honourable Court grant an Order:

a) declaring that the Revised RVO did not impact the eligibility of former employees of Cleo for purposes of entitlement to payments under the *Wage Earner Protection Program Act* (Canada) ("**WEPPA**");

b) approving the Receiver's actions, activities and conduct, and those of its legal counsel since the Third Report, including the Final Statement of Receipts and Disbursements, as set out in this Report;

c) approving the Final Cash Flow Forecast;

d) approving the fees and disbursements of the Receiver and its legal counsel, including the Forecast Fees and Costs, as set out in this Report;

e) approving the proposed Purchase Price Funds Distribution and ResidualCo Funds Distribution; and

f) approving the discharge of the Receiver and the termination of these Receivership Proceedings following the filing of the Receiver's Certificate.

All of which is respectfully submitted this 8th day of September, 2026.

ALVAREZ & MARSAL CANADA INC.,
in its capacity as the Court-appointed Receiver of
2755857 Alberta Ltd. and not its
personal or corporate capacity





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